

TURN THE HOME YOU LIKE INTO **THE HOME YOU LOVE**

WITH RENOVATION LENDING



CMG HOME LOANS



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CMG HOME LOANS

WHAT IS A RENOVATION LOAN?

ONE LOAN THAT DOES IT ALL...

A Renovation Loan can be used to purchase or refinance a home that is in less-than-perfect condition, make immediate improvements, and pay for them over time. **That's the power of renovation financing.**

Whether you are a home buyer, a homeowner, a Real Estate Agent, or a contractor who specializes in home improvements, you will find this guide a useful reference tool. It explains the features and benefits of our renovation products

**“CMG HOME LOANS
IS A TOP FHA
203(k) RENOVATION
LENDER BASED
ON HUD FISCAL
YEAR 2023*”**

and will walk you through the Renovation Loan process - from application to completion.

Renovations can include a bedroom addition to a family room extension, an upgraded kitchen or a gleaming bathroom makeover. From required repairs to elegant remodels, our renovation loan options can help home buyers and homeowners transform a property into the living space they only imagined.

*Source: Department of Housing and Urban Development, Fiscal Year 2022
HomeBridge was acquired by CMG Home Loans in 2023



**LET'S EXPLORE
THE EXCITING
WORLD OF
RENOVATION
FINANCING!**



OUR RENOVATION FINANCING OPTIONS CAN FULFILL ALL KINDS OF NEEDS.

Anyone planning to purchase or refinance a primary residence, vacation home or investment property in need of renovation is eligible to apply. Qualified customers can choose a loan based upon the appraised value of the home after improvements are made.* The loan includes all of the costs of minor and major repairs, additions and renovations, plus the purchase price or on a refinance on existing home loan balances, minus the required down payment or current equity in the home.

HOME BUYERS CAN:

- ▶ Modernize outdated homes in great locations
- ▶ Eliminate potential expensive property maintenance and repair issues

HOMEOWNERS CAN:

- ▶ Modernize or expand to enhance the value of your home
- ▶ Personalize and customize your existing home to increase the comfort and enjoyment for your family without depleting your savings

REAL ESTATE AGENTS CAN:

- ▶ Move hard-to-sell listings by creating the vision of remodeling possibilities
- ▶ Suggest financing options that may generate more home sales
- ▶ Create quality inventory to increase sales

CONTRACTORS CAN:

- ▶ Provide estimates, knowing financing has been approved
- ▶ Be confident they will receive payment for work completed in a timely manner
- ▶ Grow their business by providing financing options for their customers

INVESTORS CAN:

- ▶ Purchase a property that is in need of repair or updates
- ▶ Rehabilitate properties to maximize rental income

ENGINEERS OR HOME INSPECTORS CAN:

- ▶ Suggest financing options to buyers when properties are found to be in need of significant repairs

For FHA 203(k) purchase transactions the maximum loan amount is the lesser of the sales price + renovation costs or 110% of the after improved value, times the maximum loan-to-value. For refinance transactions the maximum loan amount is the lesser of the property value before renovation + renovation costs or 110% of the after improved value, times the maximum loan-to-value. Loan amount must be within FHA county loan limits.

For HomeStyle® purchase transactions the maximum loan amount is based on the lesser of the sales price + renovation costs or 100% of the as-completed value, times the maximum loan-to-value allowable. For refinance transactions the maximum loan amount is based on the lesser of 1) 100% of the as-completed value times the maximum loan-to-value or 2) the balance on the existing loan plus the renovation cost plus the settlement costs. The maximum repair amount is limited to 75% of the as-completed value. HomeStyle® is a registered trademark of Fannie Mae.

*Investment properties limited to Fannie Mae HomeStyle®.

RENOVATION FINANCING GUIDELINES

QUALIFICATIONS

- ▶ Applicants must meet regular loan program credit qualification requirements
- ▶ The property must meet renovation loan qualification requirements
- ▶ The post-renovation appraised property value must support the mortgage amount
- ▶ Down payment and closing cost amounts may vary depending on the loan type
- ▶ Funds needed to close may come from flexible sources
- ▶ Qualifications may differ for VA Loan renovation

PROPERTY TYPES

- ▶ Depending on the program selected, most owner-occupied 1-4 unit, 1-unit 2nd homes and 1-unit non-owner occupied properties are eligible
- ▶ Must be acceptable to local zoning requirements
- ▶ Must conform to required property construction standards after renovations are complete
- ▶ Property types may differ for VA Loan renovation

ALLOWABLE RENOVATIONS (THE FOLLOWING LIST IS NOT ALL INCLUSIVE)

- ▶ Replacement of electrical, HVAC, plumbing, installation of well and/or septic tanks
- ▶ Aesthetic changes and upgrades, such as new siding, paint and landscaping
- ▶ Elimination of health and safety hazards, such as lead-based paint and mold
- ▶ Allowable renovations may differ for VA Loan renovation
- ▶ Remodeling kitchens and baths
- ▶ Finishing a basement or raising a roof
- ▶ Structural improvements, changes or additions
- ▶ Installing accommodations for handicap access
- ▶ Adding, repairing or reroofing a garage
- ▶ Repairing or replacing a deck
- ▶ Installing or repairing a swimming pool**
- ▶ Allowable renovations may vary depending on the renovation loan type the customer chooses

FUNDS DISBURSEMENT

- ▶ All renovation work must commence within 30 days of closing
- ▶ Renovation work cannot cease for more than 30 days
- ▶ All renovation work must be completed within six months
- ▶ Funds disbursed may differ for VA Loan renovation

**Installation and repair of swimming pools is offered under the Fannie Mae HomeStyle® loan programs; repairing of pools is also offered under 203(k) loan programs.

RENOVATION FINANCING FIRST STEPS

ROLES, RESPONSIBILITIES & REPORTS

DEDICATED RENOVATION SUPPORT TEAM

CMG HOME LOANS' DEDICATED RENOVATION TEAM

Home buyers who are ready to buy, or homeowners that already own a property they want to improve, should contact their local CMG loan officer who can help homeowners:

- ▶ Understand their loan options and apply for financing
- ▶ Determine if a HUD-approved consultant is needed

If needed, CMG Home Loans can assist in the selection of a HUD-approved consultant, who is an independent consultant authorized to inspect properties and:

- ▶ Help home buyers/homeowners identify needed repairs and desired improvements to obtain work cost estimates
- ▶ Prepare itemized write-ups of work to be completed on the property
- ▶ Make sure all required and desired renovations forms are completed properly and in a timely manner

HOME BUYER/HOMEOWNER CUSTOMER RESPONSIBILITIES

CMG's dedicated renovation team will work with you directly throughout the process to address all questions and concerns. **This includes:**

- ▶ Provide all required renovation documentation for loan approval
- ▶ Facilitate required inspections and submit reports upon completion
- ▶ Discuss scope of work with your selected contractor
- ▶ Provide copies of the contractor licenses and other validation forms
- ▶ Discuss payment terms for the services rendered by the HUD consultant
- ▶ After closing, the renovation team will work with the HUD consultant and/or the contractor each time a draw inspection is needed
- ▶ Facilitate release of draws

REAL ESTATE AGENT

For purchases, buyers' Real Estate Agents play a key role. **They will:**

- ▶ Write up a sales contract and negotiate the terms of the sale for the purchase of the property (not including renovation terms).
- ▶ Assist the CMG renovation team with any property related inspections prior to closing
- ▶ Communicate with the buyer, the seller, lender and closing agent to facilitate a smooth home buying experience



**“IT’S A GREAT HONOR TO
BE A TOP RENOVATION
LENDER IN THE NATION”**

Steven Marshall
Director, CMG Home Loans
Renovation Lending

THE CONTRACTOR

You are responsible for selecting a contractor to do the actual renovation work. It is suggested to get recommendations for a contractor and then price quotes either prior to or immediately after selecting a property.

In most states the contractor selected must be licensed and insured. The contractor you select must go through a validation process by CMG Home Loans' dedicated renovation team.

THE CONTRACTOR WILL PREPARE A WRITTEN WORK WRITE-UP REPORT FOR YOU

This Work Write-Up prepared by your contractor, includes detailed breakdowns of all desired and required renovation work and related cost estimates. You should make a list of all desired improvements before meeting with the consultant.

The Work Write-Up must be completed before ordering the appraisal, so the appraiser can establish the after-completed property value based on the work that will be done. This only applies to limited or streamline renovation projects which only need a detailed bid from your contractor.

SPECIFICATION OF REPAIR DOCUMENT

A detailed specification of repair document, which includes all a listing of all necessary materials, is required for all non-limited or streamlined renovation projects which will require a HUD consultant. It defines what is required to meet the customer's needs and program guidelines. It also provides an opportunity for the customer, contractor, appraiser, lender and HUD consultant to understand and agree on the scope of work. This document also ensures that all health and safety issues have been addressed and the allocated funds for renovations are sufficient to cover the required work for completion.



A Renovation Loan can be used to purchase or refinance a home that is in less-than-perfect condition, make immediate improvements, and pay for them over time.

RENOVATION FINANCING NEXT STEPS

READY TO RENOVATE!



APPRAISAL

Once the Work Write-Up of detailed Specification of Repair is completed and reviewed by the CMG renovation team, it will be sent to an appraiser to determine the after improvement value of the property.

FINAL APPROVAL

The CMG renovation team submits the Work Write-Up or detailed Specification of Repair and appraisal for final loan approval. Once the approval process is complete, and any outstanding conditions are met, the loan can proceed to closing.

LOAN CLOSING

The closing agent will have all required documents ready for you to review and sign, including the Closing Disclosure that details all costs of the transaction. A renovation escrow account will be set up to hold the funds to pay for work to be done. Funds disbursement “draws” are managed by the CMG renovation team. The same renovation specialists that you worked with before your loan closed will remain with you and your contractor after the loan closes.



HOW FUNDS ARE DISBURSED:

- ▶ Renovation financing loans are fully funded at closing
- ▶ For purchase transactions, the home sellers receive their net proceeds and Real Estate Agents are paid
- ▶ A renovation escrow account is set up to pay the renovation costs
- ▶ For refinance transactions, the homeowner's existing mortgage is paid in full and the renovation funds are placed in an escrow account after a three-day waiting period
- ▶ When a consultant is required, you will either contact a consultant or your renovation specialist to schedule an appointment for each required inspection
- ▶ Funds are released in "draws" from the escrow account as work is completed
- ▶ The HUD consultant must inspect the completed work and submit a request for a draw
- ▶ Request form must be signed by the homeowner, consultant and contractor in order for funds to be disbursed
- ▶ Once the completed request is received by CMG Home Loans, a two party check made payable both to the homeowner and contractor will be released within 5-7 business days

THE FINAL DRAW

When all work is complete, your renovation specialist will provide a letter of completion, which the homeowner must sign and return prior to release of the final funds. The homeowner will receive a final release form that confirms all the specified work is completed and shows how all funds were applied. For certain transactions, the appraiser may be required to re-inspect the property and issue a completion report to CMG Home Loans.

RENOVATION LOAN OPTIONS

CMG Home Loans offers a full line of renovation mortgages.



	FHA 203(k) Renovation Mortgage (Consultant)	Limited FHA 203(k) Renovation Mortgage
Loan Type	Purchase or rate term refinance.	Purchase or rate term refinance.
Purpose	Purchase or refinance and renovate most residential properties.	Purchase or refinance and renovate most residential properties.
Down Payment	3.5% minimum down payment [Loan to Value (LTV) of 96.5%] primary residences only.	3.5% minimum down payment [Loan to Value (LTV) of 96.5%] primary residences only.
Gift Funds	Per HUD guidelines, gift funds are permitted.	Per HUD guidelines, gift funds are permitted.
Maximum Loan Amount	Loan amounts within FHA county loan limits; high balance option available.	Loan amounts within FHA county loan limits; high balance option available (max. rehabilitation cost of \$75,000).
Mortgage Insurance	Upfront MI premium and monthly premiums; loans with LTV > 90%, monthly premiums are for life of loan (max. 30 years).	Upfront MI premium and monthly premiums; loans with LTV > 90%, monthly premiums are for life of loan (max. 30 years).
Renovation Maximum	Renovation amount max is the lesser of 96.5% of Total Acquisition Cost or 96.5% of 110% of the After Improved Value. Total Acquisition Cost is defined as Sales Price + Total Renovation Cost.	Renovation amount max is the lesser of 96.5% of Total Acquisition Cost or 96.5% of 110% of the After Improved Value. Total Acquisition Cost is defined as Sales Price + Total Renovation Cost. Total renovation costs cannot exceed \$75,000.
Residence	Available for 1-4 unit primary residences.	Available for 1-4 unit primary residences.
Repairs	Allowable repairs from structural changes to landscaping, new appliances and more.	Allowable repairs from flooring/painting, fences, pools, remodeling kitchen/bath, appliances and more; no major remodeling, structural repairs or landscaping.

	Fannie Mae HomeStyle® Renovation Mortgage (Consultant)	Fannie Mae HomeStyle® Renovation Mortgage (Streamline)
Loan Type	Purchase or rate term refinance.	Purchase or rate term refinance.
Purpose	Purchase or refinance and renovate most residential properties.	Purchase or refinance and renovate most residential properties.
Gift Funds	Per Fannie Mae guidelines, gift funds can be used for down payment/closing costs for primary residences.	Per Fannie Mae guidelines, gift funds can be used for down payment/closing costs for primary residences.
Maximum Loan Amount	Loan amounts vary by county 2-4 unit properties have higher loan limits.	Loan amounts vary by county.
Mortgage Insurance	Monthly premiums for all loans when LTV is > 80%; monthly premiums will automatically terminate at 78% LTV.	Monthly premiums for all loans when LTV is > 80%; monthly premiums will automatically terminate at 78% LTV.
Renovation Maximum	Maximum LTV calculation is based on the lesser of the Total Acquisition Cost of the After Improved Value. Total Acquisition cost equals Sales Price + Total Renovation Cost.	Maximum LTV calculation is based on the lesser of the Total Acquisition Cost of the After Improved Value. Total Acquisition cost equals Sales Price + Total Renovation Cost. Total renovation costs cannot exceed \$75,000.
Residence	Available for 1-4 unit primary residence, 1-unit 2nd home and 1-unit investment properties.	Available on 1 unit primary residence and second homes.
Repairs	Allowable repairs from structural changes to landscaping, new appliances, swimming pools, and more. Luxury items allowed.	From flooring to painting, remodeling kitchen/bath, appliances, landscaping and more. Luxury items allowed. No structural repairs allowed.





	VA Renovation Loan
Loan Type	Purchase or rate term refinance.
Purpose	Purchase or refinance and renovate most residential properties.
Gift Funds	Applicable
VA Maximum Loan Amount	Loan amounts vary by county.
Mortgage Insurance	No requirement
Residence	Must be owner occupied.
Repairs	Uncomplicated improvements or repairs to be completed within 75 days of closing. Updates can include accessibility improvements for disabled persons.



LEARN MORE ABOUT RENOVATION LOANS

CMG HOME LOANS



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